MAHILA UDYAM PROTSAHAN YOJANA (MUPY)

Operational Guidelines, 2026-27

1. Short title, commencement and outlay

1.1 These guidelines may be called the Mahila Udyam Protsahan Yojana Guidelines, 2026-27. The scheme comes into force on 1 July 2026.

1.2 The scheme gives a capital subsidy and an interest benefit to women who start or expand a micro enterprise in manufacturing, food processing, handicrafts or services.

1.3 The outlay for the financial year 2026-27 is Rs 120 crore. The target is to assist 6,000 enterprises during the year.

2. Definitions

2.1 "Project cost" means the cost of land development, building, plant and machinery, and the margin for working capital, as shown in the detailed project report.

2.2 "DIC" means the District Industries Centre. "DLC" means the District Level Committee constituted under clause 5.4.

2.3 "Udyam Training" means the 10-day entrepreneurship training given by the DIC or by an institute recognised by the Department of Industries and Women Empowerment.

3. Eligibility

3.1 A woman is eligible for assistance if she satisfies all of the following conditions:

(a) she is between 21 and 55 years of age on the date of application;

(b) she has been a resident of Tarapur for at least 3 continuous years;

(c) the annual income of her family from all sources does not exceed Rs 3,00,000;

(d) she holds at least 51 percent of the ownership of the enterprise;

(e) the project cost does not exceed Rs 10 lakh;

(f) she has completed the Udyam Training; and

(g) she is not a defaulter of any bank.

3.2 A woman who has received a subsidy under any other State enterprise scheme within the last 5 years is not eligible.

3.3 Trading activity that consists only of buying and reselling goods without any processing, and retail shops, are not covered by the scheme.

4. Assistance

4.1 The capital subsidy is given according to the slabs in the table below.

Project cost	Subsidy rate	Maximum subsidy
Up to Rs 2 lakh	40 percent	Rs 80,000
Above Rs 2 lakh and up to Rs 5 lakh	30 percent	Rs 1,50,000
Above Rs 5 lakh and up to Rs 10 lakh	25 percent	Rs 2,50,000

4.2 An applicant who belongs to a Scheduled Caste or a Scheduled Tribe, or who has a disability of 40 percent or more, receives an additional 5 percentage points on the subsidy rate in clause 4.1. The subsidy can never exceed the maximum shown for the slab.

4.3 An interest subvention of 4 percent per year is given on the term loan for the first 3 years of the loan.

4.4 The applicant must bring at least 10 percent of the project cost as her own contribution. The rest of the project cost is met by the bank term loan and the subsidy.

4.5 The subsidy is back-ended. It is released into the loan account only after the enterprise has been in commercial production for 6 months.

5. Application and sanction

5.1 Applications are accepted only on the State portal. The window opens on 1 July and closes on 30 September every year. Late applications are not accepted.

5.2 The applicant must upload the following documents:

(a) Aadhaar card and proof of residence;

(b) income certificate issued by the Tehsildar;

(c) Udyam Training certificate;

(d) detailed project report in the prescribed format;

(e) quotations for the plant and machinery; and

(f) in-principle sanction letter of a bank.

5.3 The DIC inspects the proposed site within 30 days of the application.

5.4 The DLC is chaired by the District Collector and meets on the first Wednesday of every month. It decides on the application within 60 days of the date of application.

5.5 The bank decides on the term loan within 30 days of the recommendation of the DLC. The bank sanctions the loan independently, and the sanction of the subsidy does not bind the bank.

6. Training

6.1 The Udyam Training is free of charge. A stipend of Rs 200 per day is paid to a woman who attends all 10 days of the training.

6.2 Women who complete the training become eligible to apply in the next application window, even if the training was completed before the scheme came into force.

7. Obligations of the beneficiary

7.1 The enterprise must run for at least 3 years from the date of commercial production.

7.2 If the enterprise is sold or closed within 3 years, the subsidy is recovered in proportion to the period for which the enterprise has not run.

7.3 The beneficiary must maintain books of accounts and allow the DIC to inspect the enterprise twice in a year.

8. Grievance and appeal

8.1 A grievance against a decision may be made to the Joint Director of Industries within 45 days of the decision.

8.2 An appeal against the decision of the Joint Director lies with the Director of Industries and must be made within 60 days.

9. Monitoring

9.1 The DIC sends a quarterly progress report to the Department of Industries and Women Empowerment, showing the number of applications received, sanctioned and rejected, and the number of enterprises that have started production.

10. Eligible activities

10.1 The following activities are covered: preparation of pickles, papad, spices and flour; processing of milk into curd, ghee or sweets; tailoring and garment making; weaving, embroidery and other handicrafts; bamboo and cane work; mushroom cultivation with processing; and services such as computer training centres and beauty parlours.

10.2 The following activities are not covered: liquor, tobacco and gutkha; plastic bags below the thickness permitted by law; and any activity that needs a licence which the applicant does not hold.

11. Exemption from training

11.1 A woman who holds an ITI certificate or a diploma in the trade of the proposed enterprise is exempt from the Udyam Training required by clause 3.1(f). She must attach a copy of the certificate to the application.

12. Worked examples

12.1 A woman from a Scheduled Caste proposes a project costing Rs 4 lakh. The base rate is 30 percent and the additional 5 percentage points make it 35 percent, that is Rs 1,40,000. This is below the maximum of Rs 1,50,000 for the slab.

12.2 A woman with a disability of 50 percent proposes a project costing Rs 10 lakh. The base rate is 25 percent and the additional 5 percentage points make it 30 percent, that is Rs 3,00,000. The subsidy is limited to the maximum of Rs 2,50,000 for the slab.

12.3 A woman whose family income is Rs 3,20,000 is not eligible, whatever the project cost.

13. Steps and time limits at a glance

Step	Authority	Time limit
Site inspection	DIC	30 days from application
Decision on subsidy	DLC	60 days from application
Decision on term loan	Bank	30 days from DLC recommendation
Subsidy release	Bank	After 6 months of production
Grievance	Joint Director of Industries	45 days from decision